



INSURANCE AND PENSIONS COMMISSION

PENSIONS INDUSTRY REPORT

FOR THE HALF YEAR ENDED 30 JUNE 2020



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This report highlights major developments in the pension industry and does not cover the public-sector pension scheme and the National Social Security Authority (NSSA). The report is based on unaudited financial statements of insured, stand-alone self-administered funds, as well as self-administered funds under insurers and professional fund administrators.

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Definition of Terms

Active Member – Member who is actively making contributions in terms of the fund rules and includes a member who is on contribution holiday for a period of time.

Beneficiary – A person other than a contributing member of a fund who is entitled, in terms of the rules of the fund, to receive benefits from the fund upon the occurrence of a specific event and whose entitlement arise on account of a relation with the contributing member.

Deferred Pensioner – A member who is no longer eligible to make contributions to the fund on account of having left the employ of the participating employer(s) and whose benefits are preserved within the fund until the member attains the retirement age.

Inactive fund – A fund whose sponsoring employer is no longer contributing/paid-up or under dissolution.

Insured Fund – A fund under the administration of an insurance company that is administered through one or more policies of insurance whose assets are registered in the name of the insurer, mandated with the administration of the fund.

Members with Unclaimed Benefits – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

Pensioner – a person in receipt of pension benefits from a pension fund.

Pension Fund Member – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

Self-Administered Fund – means a fund that is administered by registered fund administrators and insurers and whose assets are registered in the respective name of the fund.

Stand-Alone Fund – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

Suspended Pensioner – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of existence.

1. Executive Summary

1.1 The pensions industry had 960 registered funds as at 30 June 2020, of which 919 were defined contribution schemes whilst 41 were defined benefit schemes.

1.2 Total membership, excluding beneficiaries was 892 240 as at 30 June 2020, having risen from 798 400 as at 30 June 2019.

1.3 The total asset base of the industry increased by 843.32% to \$66.41 billion as at 30 June 2020, up from \$7.04 billion reported as at 30 June 2019.

1.4 The increase in the asset base was mainly due to revaluation of investment property and quoted equities in response to currency reforms and inflation, of which the two asset classes increased by 1 263.41% and 657.10% respectively.

The investment property and quoted equities had a combined value of \$50.89 billion, accounting for 76.63% of total industry assets.

1.5 Notwithstanding the increase in the nominal value of prescribed assets from \$0.51 billion as at 30 June 2019 to \$4.72 billion as at 30 June 2020, compliance was still low at 7.11 % against the regulatory minimum of 20%.

1.6 Total income for the industry for the period under review was \$29.55 billion compared to \$1.35 billion for the same period in 2019. The income was driven by fair value gains which constituted 63.96% of total income and interest from investments, which constituted 22.65%.

1.7 Total industry expenditures for the period under review amounted to \$965.28 million, of which \$481.71 million was for pension benefit payments.

1.8 Administrative expenditures amounted to \$332.59 million, resulting in average expenses to total income ratio of 1.13% compared to 3.75% reported as at 30 June 2019.

Notwithstanding the improvement in the expenses to income ratio, the administration expenses to total realised income ratio for June 2020 remained high at 3.12%

2. The Insurance and Pensions Commission at a Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the pensions industry consistent with its statutory mandate for the 6 months ended 30 June 2020.

3. Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their respective regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate

- Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

4. Economic Developments

4.1 World and Regional Economic Outlook

4.1.1 The COVID-19 pandemic has continued to dampen the world economy outlook for 2020.

4.1.2 The global economy which was initially projected to decline by 3.9% in 2020 as a result of COVID-19 is now projected to decline by 4.9%.

4.1.3 Advanced economies will experience a deep recession with a projected contraction of 8% in 2020.

4.1.4 Sub-Saharan Africa faces a triple shock - health shock from COVID-19, macroeconomic shock due to COVID-19 induced restrictions and food security shock due to supply chain disruptions and droughts.

4.1.5 The World Bank projects that economic growth in Sub-Saharan Africa will decline to negative 5.1% in 2020 from a growth of 2.4% in 2019, marking the region's first recession in 25 years.

4.2 Domestic Economic Outlook

4.2.1 Treasury projects Zimbabwe's economy to contract by 4.5% in 2020 from an initial growth projection of 3% (Mid-term Fiscal Policy Statement). The projected negative growth is on account of climatic shocks in the form of the 2019/20 drought and cyclone Idai, energy challenges, currency volatility and the impact of the COVID-19 Pandemic.

4.2.2 The International Monetary Fund, however, projects that Zimbabwe's economy will experience a deeper decline of 7.4% compared to Treasury's projection of 4.5%.

4.2.3 The economy will experience a severe contraction in tourism, which earns around US\$1 billion annually, because of extensive travel restrictions. The country is, however, anticipated to rebound in 2021 to a marginal growth of 2.5%.

4.2.4 The Finance, Banking and Insurance services sector is projected to contract by 7.1% from the initial estimated growth of 1.2%.

4.2.5 For the insurance and pensions industry the impact of COVID-19 has negatively affected premiums and contributions.

4.3 Currency Reforms and Exchange Rate Developments

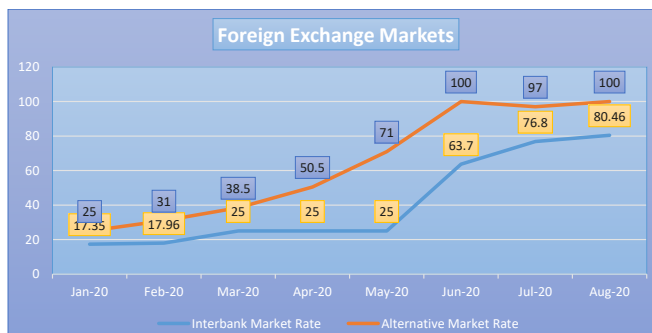
4.3.1 ZWL\$/US\$ exchange rate was 1:16.08 on 2 January 2020 and remained at 25 during the period March to June when the Foreign Currency Auction System was introduced which saw the exchange rate depreciating to 1:63.7.

4.3.2 The alternative exchange market traded at a premium to the Interbank market.

4.3.3 However, the rates have been showing signs of convergence and stability since the adoption of the Foreign Auction System.

4.3.4 The figure below shows exchange rate developments from January to August 2020:-

Figure 1: Foreign Currency Exchange Rates



Source: RBZ, Market Watch

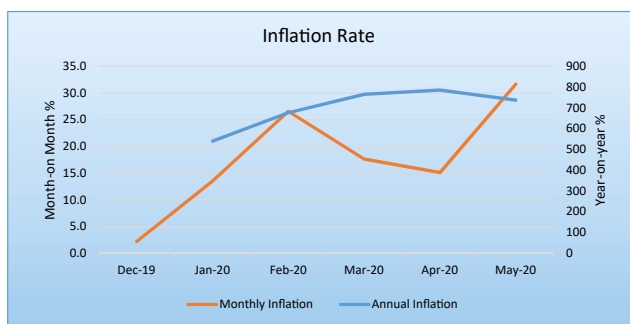
4.4 Inflation Developments

4.4.1 During the quarter under review, inflation remained on an upward trajectory spiking to 737.3% in June 2020 from 176% in June 2019.

4.4.2 Month-on-month inflation averaged 17.08 % for the first half of 2020.

4.4.3 Figure 2 below shows inflation developments for the first half of the year:-

Figure 2: Inflation Developments



4.4.4 Whilst the inflation rate remained high during the first half of 2020, the Reserve Bank of Zimbabwe forecasts that the annual inflation will gradually fall to about 249% by December 2020. The projected fall is on account of the foreign exchange market stability ushered in by the introduction of the foreign exchange Auction System on 23 June 2020.

4.4.5 Such price stability will positively influence developments in the insurance and pensions industry

and arrest the second episode of loss of value following hyperinflation that characterised the 2019 currency reforms.

4.5 Trends in the Real Estate Market

4.5.1 The insurance and pensions industry particularly, pension funds and life companies whose major investments are in the form of property continue to face challenges from low occupancy. Rental income continues to lag behind the inflation rate. The industry, however, got a reprieve following the gazetting of Statutory Instrument 85 of 2020 which facilitated dual pricing and enabled consumers with free funds to pay for goods and services using United States dollars as a measure of stabilising financial markets in response to COVID-19 lockdown;

4.5.2 As a result, some property owners now prefer holders of free funds as tenants. However, this trend may further result in low occupancy ratios as most tenants' earnings are in local currency.

4.5.3 Furthermore, the Government, through Statutory Instrument 96 of 2020 provided a reprieve to tenants to accumulate rental arrears by making payment plans with their landlords to alleviate the negative effects of COVID-19 on economic activity for a period of three months.

4.5.4 Although the promulgation of the Statutory Instrument had negative effects on insurance and pensions industry property holders, its expiration brought some relief to the sector.

4.6 Trends on the Zimbabwe Stock Exchange (ZSE)

4.6.1 During the first half of 2020, the equities market was dominated by strong bullish sentiments, registering a 681.6% nominal growth in market capitalisation from ZWL\$29.23 billion at the beginning of the year to ZWL\$228.87 billion by 26 June 2020.

4.6.2 The suspension of trading on the Zimbabwe Stock Exchange, coupled with the suspension of mobile money based payment platforms on 26 June 2020, brought some uncertainties in the insurance and pensions industry.

4.6.3 Trading however, resumed on 3 August 2020, albeit with all indices trending southwards with thin volumes. Three dually listed shares, namely Old Mutual, PPC and Seed Co International, however, remained suspended from trading. It is anticipated that these will be listed on the forex based Victoria Falls Securities Exchange (VFEX).

4.6.4 The suspension of the three shares is likely to affect the liquidity of insurance companies and pension funds as they are heavily invested on the stock exchange in a bid to hedge against inflation.

Victoria Falls Exchange Market

4.6.5 Government has already announced the launch of VFEX in order to attract critical offshore capital into the economy to augment local resources.

4.6.6 This development will go a long way in preserving the insurance and pension industry assets as well as in aiding asset and liability matching, given that the industry has USD-denominated liabilities.

4.7 Trends in the Money Market

4.7.1 Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 737.30% as at 30 June 2020

4.7.2 With such negative real returns, money market instruments became unattractive to the industry. However, with the need to meet immediate obligations, losses from investing in money market instruments are inevitable for the industry, hence the call for price stability.

5. Highlights of the Commission's Activities

5.1 Pursuant to the quest to fulfil its mandate of regulating, supervising and strengthening the pensions industry as well as protecting pension members, the Commission, conducted various activities during the first six months of 2020 as outlined below:-

5.2 Fund Registrations

5.2.1 The Commission registered 23 funds, out of which 19 were full registrations while 4 were provisional registrations. The majority of these funds were registered under First Mutual Life Assurance Company and Old Mutual Life Assurance Company.

5.3 Registration of Redrafted Rules

5.3.1 As at 30 June 2020, the Commission had registered 467 redrafted rules in line with the objective of ensuring that fund rules comply with obtaining statutes, governance requirements as well as international best practices.

5.3.2 The Commission notes with concern that there are some funds which still have not yet submitted redrafted rules for registrations and calls upon such to comply with the new set deadlines or face penalties for non-compliance.

5.4 Onsite and offsite Inspections

5.4.1 During the first six months of 2020, the Commission issued Corrective Orders to eight (8) entities following onsite inspections conducted in 2019 and early 2020. The Commission continues to monitor progress in the implementation of the Corrective Orders.

5.4.2 In view of the Covid 19 Pandemic, focus has been on offsite surveillance with 5 inspections currently underway covering expenses, non-resident pensioners, inactive funds, unclaimed benefits and private equity investments. Findings from the inspections will inform the way forward in terms of resolving legacy issues which have adversely affected the pensions industry.

5.5 Paid-up Funds

5.5.1 The Commission continues to receive requests for paid up status as more sponsoring employers face viability challenges owing to the difficult economic conditions which have been worsened by the effects of the Covid 19 Pandemic. In the first half of the year, the Commission approved five (5) requests for paid up status.

5.5.2 Furthermore, some entities applied for suspension of contributions citing challenges associated with the Covid 19 Pandemic.

5.6 Regulatory Developments

5.6.1 The following Circulars and Statutory Instrument were issued in the first six months ended 30 June 2020:-

Table1: Circulars and Statutory Instruments Issued

Document	Release Date	Content
Circular 1 of 2020	7 February 2020	Guidelines on Resolution of Troubled Entities
Circular 2 of 2020	7 February 2020	Guidelines on Minimum Disclosure Requirements for Pension Funds and Fund Administrators
Circular 4 of 2020	27 February 2020	Notification of publication of the Pension and Provident Funds Bill and calling industry to submit comments and concerns to Parliament on the provisions of the Bill
Circular 6 of 2020	24 March 2020	Industry's responsiveness to COVID 19
Circular 8 of 2020	2 April 2020	Maintenance of skeletal staff to ensure business continuity in view of the Covid 19 Pandemic
Circular 9 of 2020	28 April 2020	Extension on the submission of First Quarter Returns
Circular 10 of 2020	13 May 2020	Conducting of impact assessment of the Covid 19 Pandemic
Circular 11 of 2020	9 June 2020	Risk Management and Corporate Governance Guidelines
S.I. 69 of 2020	13 March 2020	S.I. that empowers IPEC to issue guidelines, directives, and circulars to industry. Therefore, S.I. gives effect to the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms
S.I. 91 of 2020	17 April 2020	Amendment of Pension and Provident Funds Regulations 1991, published in S.I 323 of 1991

5.6.2 Of note on the regulatory developments, is the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms, which the Commission issued in terms of S.I. 69 of 2020. This was issued in order to fulfil the Commission's mandate of protecting policyholders and pension scheme members by ensuring that Revaluation Gains, which resulted from currency reforms are determined and allocated to pensions scheme members in an equitable and fair manner.

In line with the requirements of the Guideline, entities are required to submit the following documents:-

- a. Actuarial Valuation Reports for the period ending 31 December 2019;
- b. Audited financial statements for the same period;
- c. Peer Review Report/Certificate;
- d. Asset valuation reports (for major asset classes);
- e. Data Certification by the Revaluation Actuary;
- f. Data Certification by the Principal Officer; and
- g. Asset Separation Certificate (mainly applicable to life insurers)

The first submissions from the industry were due on 30 June 2020. However, the deadline had to be moved to 31 July 2020 in response to challenges relating to the Covid-19 pandemic. Industry is called upon to comply with the Guidance Paper, failure of which, non-complying entities will be penalised in terms of S.I 69 of 2020.

5.7 Pensions Complaints Resolution Report

5.7.1 During the quarter-ended 30 June 2020, the Commission received 135 complaints, out of which, 35 were resolved while 62 were under investigation. Of these complaints, 38 related to the loss of pension values at conversion from the Zimbabwe dollar to the United States dollar in 2009.

5.7.2 The bulk of cases that remain outstanding relate to non-remittance of pension contributions by sponsoring employers and the legacy issue of low pension values at conversion.

5.7.3 The table 2 below shows the summarised complaints received by the Commission during the quarter under review:

Table 2: Pension Complaints

Nature of Complaints	Number of Complaints	% of total
Low pension benefits	51	38%
Unremitted contributions	35	26%
Non-payment of benefits	29	21%
Late payment of benefits	20	15%
Total	135	100%

5.7.4 As shown in the table 2 above, most of the cases still relate to low pension benefits due to the loss of value owing to the conversions carried out in 2009 upon the adoption of the multi-currency regime. The Commission is actively engaged with relevant stakeholders to find a lasting solution to the compensation for loss of value relating to the pre-2009 period.

5.7.5 Complaints to do with non-remittance are at various stages of resolution as some employers have submitted payment plans to respective fund administrators whilst others have resorted to making part payments. The Commission commends some of the sponsoring employers who managed to clear contributions during the period under review. Funds in contribution arrears are being urged to clear them in line with provisions of the Guidelines for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms.

5.7.6 Regarding late and non-payment of pension benefits, the Commission encourages pension funds to pay pension benefits timeously so that members can get value for money in the current inflationary environment. The Commission commends some of the funds that have made significant progress in reducing benefit arrears.

6. Industry Overview

6.1 The key performance indicators for the pensions industry as at 30 June 2020 are as shown in Table 3 below:

Table 3: Key Highlights of the Pensions Industry as at 30 June 2020

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	780	164	16	960
Active funds	449	114	16	579
Members	352,632	119,634	419,974	892,240
Share of total membership	39.52%	13.41%	47.07%	100.00%
Total Income (\$)	6,952,166,288	12,601,290,289	9,995,126,821	29,548,583,398
Total Contributions (\$)	323,488,600	461,848,757	403,307,495	1,188,644,851
Rental Income (\$)	546,117	51,261,266	153,951,125	205,758,508
Investment Income (\$)	6,570,452,862	10,709,434,412	9,436,158,779	26,716,046,053
Investment Income over total assets	37.71%	46.85%	36.11%	40.23%
Total Expenditure (\$)	264,308,224	396,776,353	304,195,812	965,280,389
Administration Expenses (\$)	101,175,406	105,863,569	125,552,032	332,591,007
Total Benefits Incurred (\$)	157,592,282	216,147,100	107,969,539	481,708,921
pension benefits per pensioner (\$)	866.71	1,831.22	413.01	451.81
Expenses/Contributions	31.28%	22.92%	31.13%	27.98%
Expenses/Total Income	1.46%	0.84%	1.26%	1.13%
Income Surplus(Deficit) (\$)	6,687,858,064	12,204,513,936	9,690,931,010	28,583,303,009
Total Assets (\$)	17,423,843,152	22,856,983,753	26,131,312,049	66,412,138,954
Total Assets per member (\$)	49,411	191,058	62,221	74,433
Percentage of Total Assets	26.24%	34.42%	39.35%	100.00%
Prescribed Assets (\$)	2,277,223,123	2,101,096,581	340,449,577	4,718,769,281
Prescribed Assets Ratio	13.07%	9.19%	1.30%	7.11%
Contribution Arrears (\$)	77,570,910	131,973,828	677,820,544	887,365,282

Notes:

1. Total membership excludes fund beneficiaries (spouse and children of the deceased members).
2. Total Investment income is made up of rental income, dividends, interest on investments, profit on disposal of assets and fair value gains.
3. Total Expenditure for the industry includes benefits paid, transfer to reserves, revaluation losses and provisions.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation losses.

6.2 As shown in Table 3 above, there were 960 registered occupational pension funds as at 30 June 2020, compared to 1 090 funds reported as at 30 June 2019.

6.3 The decline in the number of funds was due to data correction by two Life Assurance Companies who were misclassifying participating employers as funds.

6.4 For the period January to June 2020, 23 funds were registered, out of which 19 were full registrations whilst 4 were provisional registrations.

6.5 Furthermore, of the registered funds, 579 were active, which constituted 60.31% of the total number of funds. The decline in active funds is attributed to some funds suspending contributions due to Covid 19 induced effects faced by sponsoring employers. However, Boards of Trustees are reminded to seek IPEC's approval of waiver of contributions.

6.1. Membership

6.1.1 The industry's total membership, excluding beneficiaries increased to 892,240 as at 30 June 2020 from 798,400 as at 30 June 2019. The increase was on account of correction of membership data by the Clothing Industry Pension Fund-and and new entrants into Old Mutual administered funds. Furthermore, the increase in membership was also due to inclusion of members with unclaimed members that were previously excluded by some pension funds.

6.1.2 The breakdown of membership as at 30 June 2020 and 30 June 2019 is shown in Table 4 below:-

Table 4: Breakdown in Membership

Membership Class	Membership as at ...	
	30 June 2020	30 June 2019
New Entrants	5,817	9,385
Actives	317,081	325,484
Pensioners	37,903	37,031
Deferred Pensioners	361,952	356,477
Suspended Pensioners	16,660	17,865
Unclaimed Benefits	152,827	52,158
Total Membership (excluding beneficiaries)	892,240	798,400
Beneficiaries	14,007	16,742
Total Membership (including beneficiaries)	906,247	815,142
Exits	3,255	5,505

6.1.3 As shown in table 4 above, there was a decline in the number of active members from 325 484 as at 30 June 2019 to 317 081 as at 30 June

2020 The decline is attributed to members of dissolved funds who moved to the deferred membership category as they await retirement age for them to access their benefits.

6.1.4 Given the high number of members with unclaimed benefits, the Commission urges pension funds to be proactive in empowering their members with knowledge on how to timely claim their benefits, through pre-retirement education programmes.

6.1.5 The Commission has also uploaded information on unclaimed benefits on its website in an effort to inform members of their benefits.

6.2. Asset Quality

6.2.1 In nominal terms, the industry's asset base increased by 843.32% from \$7.04 billion as at 30 June 2019 to \$66.41 billion as at 30 June 2020.

6.2.2 The figure below shows the industry asset base trend from 30 June 2019 to 30 June 2020:-

Figure 3: Trend in Industry Assets Growth



6.2.3 The increase in asset base was mainly driven by an increase in the values of investment properties and equities which accounted for 76.63% of the industry's assets.

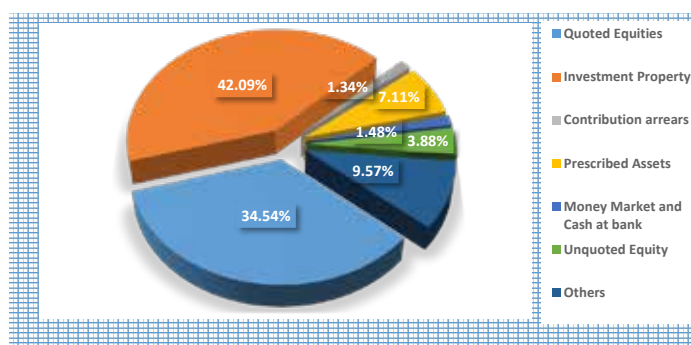
6.2.4 Investment property increased to \$27.95 billion as at 30 June 2020 from \$2.05 billion as at 30 June 2019. The asset class now

constitutes 42.09% of the industry total assets.

6.2.5 The value of quoted equities investment increased by 657.10% from \$3.03 billion as at 30 June 2019, to \$22.94 billion as at 30 June 2020 notwithstanding suspension of trades on the Zimbabwe Stock Exchange towards the end of the 2020 second quarter,

6.2.6 The distribution of the industry's assets as at 30 June 2020 is shown in Figure 4 below:-

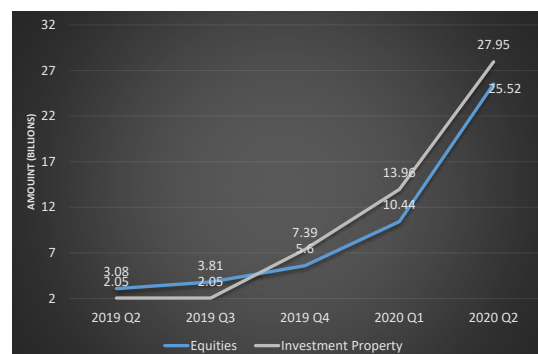
Figure 4: Distribution of Pension Industry Assets as at 30 June 2020



6.2.7 As shown in Figure 4 above, the industry is heavily invested in investment property and quoted equities (totalling \$50.89 billion) which are viewed as value preserving and a hedge against inflation.

6.2.8 Funds' value of investments in equities and investment property has been increasing in absolute terms as shown in Figure 5 below:-

Figure 5: Equities and Investment Property Trend



6.2.9 Contribution arrears increased to \$887.37 million as at 30 June 2020 from \$655.01 million as at 30 June 2019. Whilst there was a nominal increase in contribution arrears, the proportion of contribution arrears to total assets declined from 9.30% as at 30 June 2019 to 1.34% as at 30 June 2020.

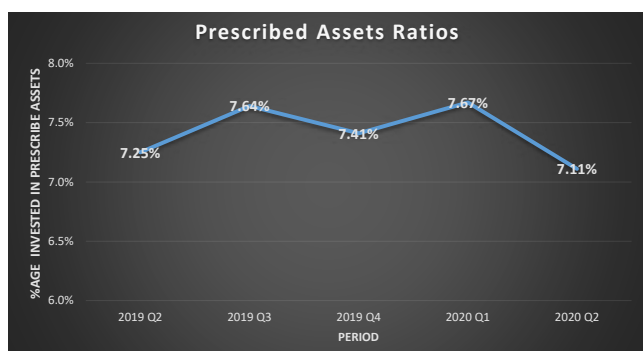
The decline in the share of contribution arrears to total assets is on account of the revaluation of real assets. Notwithstanding the above, the Commission is concerned about the increase in absolute values of contribution arrears given the impact of inflation on the arrears. Therefore, the Commission is calling upon regulated entities to treat contribution arrears in line with the requirements of the Guidance paper on currency reforms.

6.2.10 There was a nominal increase in the total amount invested in prescribed assets to \$4.72 billion as at 30 June 2020 from \$0.51 billion as at 30 June 2019 as shown in Table 5 below:-

Table 5: Compliance levels for Prescribed Assets

Sector	30 June 2020		30 June 2019	
	Amount (\$b)	Ratio (%)	Amount (\$b)	Ratio (%)
Stand-Alone Funds	0.34	1.30	0.08	3.61
Self-Administered Funds	2.10	9.19	0.26	8.40
Insured	2.28	13.07	0.17	9.87
Total/Average ratio	4.72	7.11%	0.51	7.25%

Figure 6 – Prescribed Assets Compliance Level



6.2.11 Notwithstanding the increase in amounts invested in prescribed assets, the ratio of 7.11% was below the regulatory minimum of 20%.

The Commission is working with the industry to ensure that there are value preserving prescribed assets in the market which industry can subscribe to.

6.3. Liabilities

6.3.1 Arrear pension benefits decreased by 31.71% from \$77.77 million as at 30 June 2019 to \$53.11 million as at 30 June 2020 largely due to some aggressive strategies adopted by some funds that had high arrears. The persistently high benefit arrears is due to the tough operating environment which is impacting adversely on liquidity of pension funds whose assets are mainly in illiquid investment property.

6.3.2 Unclaimed benefit liabilities drastically increased by 482.10% from \$33.75 million as at 30 June 2019 to \$196.46 million as at 30 June 2020.

The notable increase was mainly as a result of an increase in the number of members with unclaimed benefits.

6.4. Earnings

6.4.1 Table 6 below indicates the key income and expenditure indicators: -

Table 6: Key Income Indicators

Indicator	June 2020	June 2019
Total Contributions (\$billion)	1.19	0.21
Investment Income (\$billions)	26.72	0.99
Total Income (\$billions)	29.55	1.35
Total Benefits Paid (\$m)	438.00	138.61
Total Expenditure (\$m)	921.57	191.76
Expenses to Contribution Ratio	27.98%	23.94%
Expenses/Total Income Ratio	1.13%	3.75%

6.4.2 The income for the period under review was mainly driven by fair value gains and interest from investments amounting to \$25.59 billion. The fair value gains were mainly due to the revaluation of investment properties and listed equities.

6.4.3 Total expenditure increased by 380.58% from \$191.76 million for the period ended 30 June 2019 to \$921.57 million for the same period in 2020. The increase was mainly driven by total benefits paid and investment management expenses which accounted for 47.53% and 15.58% respectively.

6.4.4 Expenses to contributions ratio was 27.98%, whilst the expenses to total income ratio was 1.13% for the year ended 30 June 2020, compared to 23.94% and 3.75% in 2019, respectively.

6.4.5 Figures 7 and 8 below show expense ratios trend for the period 30 June 2019 to 30 June 2020:-

Figure 7: Expenses to Contribution Ratio

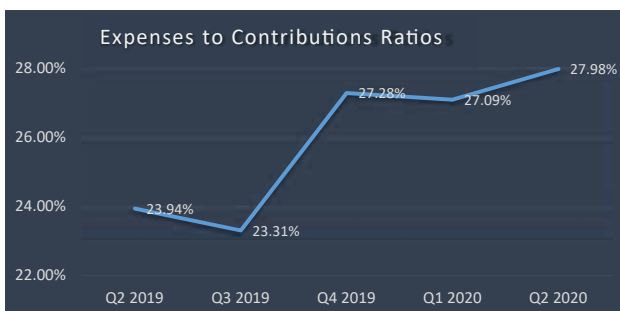
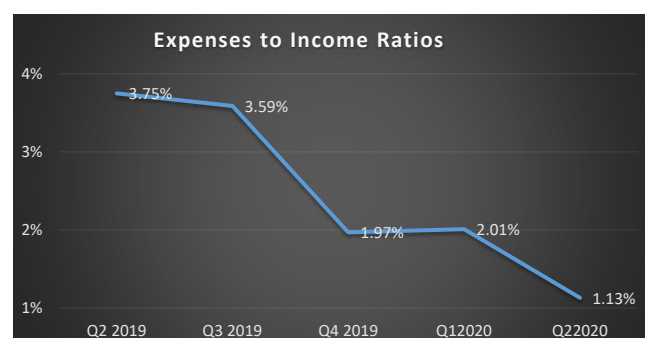


Figure 8: Expenses to Total Income Ratio



6.4.6 Whilst the expenses to income ratio for the industry is declining, high expense to contribution ratios remain a cause for concern as this has a bearing on the benefits to members. The Commission is putting in place measures to control expense structures.

6.4.7 Meanwhile, the Commission urges the industry to be transparent as guided by Circular 2 of 2020 on Minimum Disclosures, which directs the industry to disclose all costs of the funds in a disaggregated manner. This will inform corrective actions needed to manage expenses within reasonable levels.

7. Insured Schemes

7.1 Sector Architecture

7.1.1 There were 6 life companies administering 780 pension funds as at 30 June 2020, decreasing from 905 reported as at 30 June 2019.

7.1.2 The distribution of the pension funds among insurers as at 30 June 2019 and 30 June 2020 is shown in Table 7 below:-

Table 7: Distribution of Insured Pension Funds

Life Assurer	30 June 2020	30 June 2019
CBZ Life	6	3
Fidelity Life	38	71
First Mutual Life	124	193
Old Mutual Life	339	324
ZB Life	108	151
Zimnat Life	165	163
Total	780	905

7.1.3 As has already been alluded to, the decline in the number of funds was due to the exclusion of participating employers that were previously reported as funds.

7.1.4 It is also important to note that of the 780 funds administered, 449 were active funds, constituting 57.6% of the total insured funds. The high number of inactive funds is of concern to the Commission and was attributed to viability challenges faced by the sponsoring employers.

7.2 Membership

7.2.1 Total membership for insured funds increased to 353,544 as at 30 June 2020 from 341,895 as at 30 June 2019. The membership for insured funds as at 30 June 2020 and 30 June 2019 is shown in Table 10 below:-

Table 8: Membership Classes

Membership Class	Number of members as at...	
	30 June 2020	30 June 2019
New Entrants	2,886	3,836
Active Members (Excluding new Entrants)	102,744	105,065
Pensioners	7,565	8,143
Deferred Pensioners	230,043	220,437
Suspended Pensioners	2,308	1,510
Members with unclaimed Benefits	7,086	2,904
Total	353,544	341,895
Exits	2,659	2,041

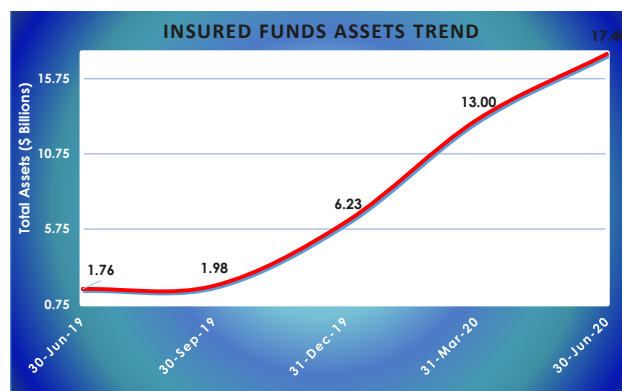
7.2.2 As shown in table 10 above, there was an increase in the number of deferred members from 220,437 as at 30 June 2019 to 230,043 as at 30 June 2020. The increase is mainly due to a high number of funds which applied for dissolution.

7.3 Asset Quality

7.3.1 Insured funds reported assets totalling \$17.42 billion as at 30 June 2020, constituting 26.23% of the industry's total assets. The asset base increased by 889.77% from \$1.76 billion as at 30 June 2019. The increase in the asset base was mainly due to revaluation of properties.

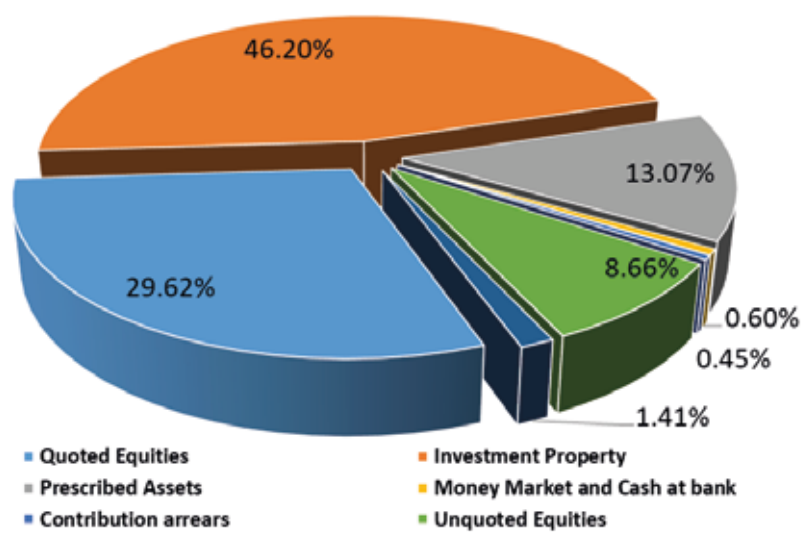
7.3.2 The growth of insured fund assets from 30 June 2019 to 30 June 2020 is shown in figure 9 below:-

Figure 9: Insured Funds Assets Trend



7.3.3 As shown in figure 9 above, the asset base for insured funds has been on an upward trajectory from 30 June 2019 to 30 June 2020. The increase was mainly on account of revaluations and inflation following currency reforms. The composition of insured funds' investments is shown in Figure 10:-

Figure 10 : Composition of Insured Fund Assets as at 30 June 2020



7.3.4 As shown in figure 10 above, investments in prescribed assets totalling \$2.3 billion constituted 13.07% of the sector's total asset base as at 30 June 2020. The prescribed asset ratio was, however, not compliant with the revised minimum regulatory threshold of 20%.

7.4 Earnings

7.4.1 Insured schemes reported a surplus (income net expenditure) of \$6.69 billion for the 6 months ended 30 June 2020.

This was attributed to fair value gains on equities and interest from investment totalling \$6.6 billion. Total income amounted to \$6.95 billion for the 6 months ended 30 June 2020, compared to \$203.04 million for the same period in 2019.

7.4.2 Insured funds paid \$157.59 million in benefits for the 6 months ended 30 June 2020, constituting 59.62% of the sector's total expenditure of \$264.31 million.

7.4.3 The sector's administrative expenses totalled \$101.18 million and were driven by investment expenses totalling \$92.61 million.

7.4.4 Administrative expenses translated to 31.28% and 1.46% of contributions and total income respectively, compared to 23.97% and 0.67% reported as at 31 December 2019. The Statements of Comprehensive Income for insured schemes for the 6 months ended 30 June 2020 are shown on Annexure 3.

8. Self-Administered Funds

8.1 Sector Architecture

8.1.1 There were 164 self-administered funds as at 30 June 2020, compared to 169 reported as at 30 June 2019. The decline in the number of self-administered funds was due to the transfer of funds from being self-administered to umbrella funds, thus becoming participating employers. The number of self-administered pension funds per administrator as at 30 June 2020 are shown in Table below:-

Table 9 : Number of Self-administered Funds

Name of Administrator/Insurer*	30 June 2020	30 June 2019
Professional Administrators		
Capitol Insurance Broker	1	1
Comarton Consultants	24	25
Marsh Employee Benefits	41	42
Minerva Benefit Consulting	63	63
Zimbabwe Insurance Brokers	5	5
Sub-total	134	134
Life Companies		
Fidelity Life Assurance Company	1	1
First Mutual Life Assurance Company	4	4
Old Mutual Life Assurance Company	21	24
Nyaradzo Life Assurance Company	2	2
Zimnat Life Assurance Company	2	2
Sub-total	30	33
Grand Total	164	169

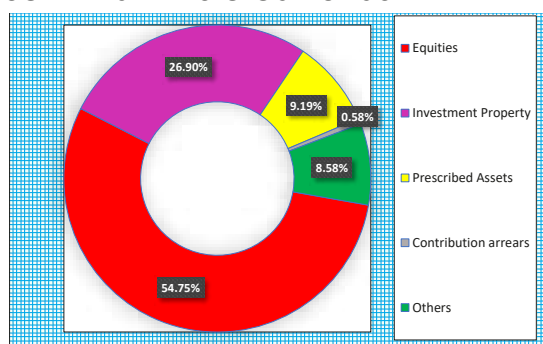
***Not all registered life offices (life assurance companies) are involved in pension administration.**

8.1.2 As shown in Table 9 above, 81.71% of the self-administered pension funds were administered by Fund Administrators, compared to 18.29% under the administration of Life Insurers.

8.1.3 It is also important to note that 104 pension funds, accounting for 63.41% of the total number of self-administered funds, were administered by two Fund Administrators (Minerva Benefit Consulting and Marsh Employee Benefits)

8.2 Membership

Table 10: Distribution of Membership for Self - Administered Funds



8.2.1 There was a decrease in total membership from 120,378 members as at 30 June 2019 to 119,634 as at 30 June 2020.

8.2.2 As shown in Table 10 above, the number of members with unclaimed benefits increased from 5,792 as at 30 June 2019 to 9,853 as at 30 June 2020.

8.3 Asset Quality

8.3.1 The sector's asset base increased by 650.82%% in nominal terms from \$3.05 billion as at 30 June 2019 to \$22.9 billion as at 30 June 2020. The increase was mainly attributable to revaluation of assets.

8.3.2 It is also important to note that contribution arrears increased by 61.43% from \$81.15 million as at 30 June 2019 to \$131.97 million at 30 June 2020, which is an indication of failure by employers to remit pension contributions in time

. The reason for the jump in arrear contributions is partially attributed to the impact of Covid 19 lockdown which resulted in the failure to meet obligations by pension funds.

8.3.3 Figure 11 below shows the distribution of self-administered funds' assets as at 30 June 2020:

Figure 11 : Distribution of Self-Administered Funds Assets

Membership Class	Number of members as at.....	
	30 June 2020	30 June 2019
New Entrants	1,160	3,209
Active Members (excluding new)	65,837	69,421
Pensioners	6,278	7,021
Deferred Pensioners	33,186	32,191
Suspended Pensioners	3,320	2,744
Unclaimed Benefits	9,853	5,792
Total Membership	119,634	120,378
Exits	217	2,387

8.3.4 As shown in Figure 11 above, equities investments and investment property were \$18.6 billion and accounted for 81.65% of the total asset base. The value of these two asset classes reflects that investment property is repricing faster than other asset classes.

8.3.5 Investments in prescribed assets increased from \$256.32 million as at 30 June 2019 to \$2.1 billion as at 30 June 2020. The prescribed assets investments translated to a ratio of 9.19% of total assets compared to 8.41% reported as at 30 June 2019. The prescribed assets ratio of 9.19% is still far below the required minimum regulatory threshold of 20%.

8.3.6 Contribution arrears increased to \$131.97 million as at 30 June 2020 from \$81.15 million reported in June 2019. The ratio of contribution arrears to total assets also increased to 8.56% from 2.66% reported in June 2019. This increase in contribution arrears is of great concern to the Commission given that some funds may end up failing to pay benefits as they fall due.

8.4 Earnings

8.4.1 The total income for the period January to June 2020 was \$12.6 billion compared to \$0.95 billion reported for the same period in 2019. The total income was mainly driven by fair value gains on real assets totalling \$9.5 billion.

8.4.2 Total expenditure was \$180.60 million for the period ending 30 June 2020, having increased by 145% from \$73.69 million reported same period in 2019. Benefits payments constituted 75% of the total expenditure.

8.4.3 Administrative expenses totalled \$105.86 million for the period under review, compared to \$20.96 million for the same period in 2019. The expenses resulted in average expense ratios of

22.92% and 0.84% to total contributions and total income respectively, compared to 28.50% and 2.22% for the same period in 2019.

9. Stand-Alone Pension Funds

9.1 Overview of the Stand-Alone Funds Sector

9.1.1 The number of stand-alone funds for the period ending 30 June 2020 was unchanged at 16, a position reported as at 30 June 2019. The sector largely comprises of defined contribution schemes, totalling 10 funds, with the remainder being defined benefit schemes.

9.2 Membership

9.2.1 Total membership for stand-alone pension funds increased to 419,974 as at 30 June 2020, up from 336,127 members as at 30 June 2019.

9.2.2 The growth in membership was driven by an increase in new entrants, mainly into the Clothing Industry Pension Fund. The distribution of membership by class as at 30 June 2019 and 30 June 2020 is shown in Table 11 below:-

Table 11: Membership Statistics for Stand-Alone Pension Funds as at 30 June 2020

Membership Category	Number of members as at	
	30 June 2020	30 June 2019
New entrants	1,771	2,340
Active members	148,500	150,998
Pensioners	24,060	21,867
Deferred Pensioners	98,723	103,849
Suspended Pensioners	11,032	13,611
Unclaimed benefits	135,888	43,462
Totals	419,974	336,127
Exit members	379	1,075

9.2.3 The total number of individuals with unclaimed benefits in the quarter under review increased by 212.66%, from 43,462 reported as at 30 June 2019.

9.2.4 As earlier indicated, the huge increase in unclaimed benefits is attributed to the inclusion of some members who were previously excluded.

9.2.5 The increase in members in this category is of concern as it indicates that more still needs to be done to raise awareness on unclaimed benefits. Concerted efforts are needed on the part of the Commission and the industry in educating members of their benefits.

9.3 Asset Base

9.3.1 Stand-Alone pension funds' assets increased by 1 071.75% from \$2.23 billion as at 30 June 2019 to \$26.13 billion as at 30 June 2020. The increase in the asset base was mainly as a result of an increase in the values of assets due to revaluations.

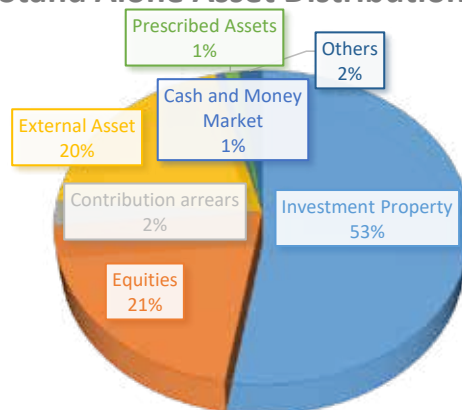
9.3.2 The sector also registered a significant increase in investment in quoted equities from \$0.57 billion as at 30 June 2019 to \$5.5 billion as at 30 June 2020.

9.3.3 Investment property also increased to \$13.75 billion as at 30 June 2020 from \$0.67 billion reported as 30 June 2019.

9.3.4 The distribution of the assets for the stand-alone funds as at 31 June 2020 is shown in Figure 12 below:

Figure 12: Distribution of Assets for Stand Alone Funds as at 30 June 2020

Stand Alone Asset Distribution



9.3.5 As indicated in Figure 12, investment properties and equities accounted for 73.67 of the total asset base for stand-alone pension funds, as they are considered a safe haven for hedging against inflation risk. Though the move is considered strategic, industry should be cognisant of the associated risks such as market and liquidity risks that pension funds may be exposed to.

9.3.6 Investment in prescribed assets increased to \$340.45 million as at 30 June 2020, compared to \$80.45 million reported in as at 30 June 2019.

Notwithstanding the increase in the amount invested in prescribed assets, the prescribed asset ratio declined from 3.61% as at 30 June 2019 to 1.30% in the current period.

9.3.7 The Commission urges the sector to invest in prescribed assets instruments as the current ratio of 1.30% falls way below the 20% statutory minimum requirement.

9.3.8 Contribution arrears increased to \$677.82 million as at 30 June 2020 from \$527.39 million recorded as at 30 June 2019. However, the proportion of contribution arrears to total assets declined to 2% from 23.63% recorded as at 30 June 2019.

9.4 Liabilities

9.4.1 Arrear pension benefits decreased to \$46.57 million as at 30 June 2020 from \$73.26 million as at 30 June 2019.

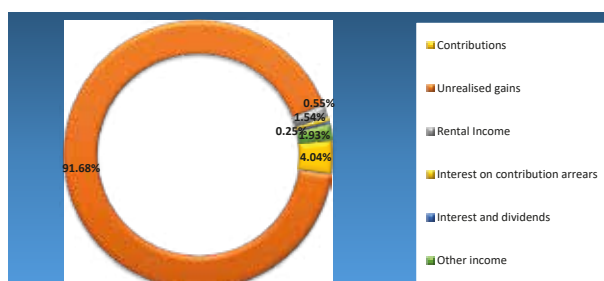
9.4.2 The provisions for unclaimed benefits for the stand-alone pension funds totalled \$43.5 million as at 30 June 2020 compared to \$29.90 reported as at 30 June 2019.

9.5 Earnings

9.5.1 Stand-alone pension funds reported a surplus (income less expenditures) amounting to \$9.69 billion, for the period ending 30 June 2020, compared to \$0.13 billion recorded in the corresponding period of 2019.

9.5.2 The total income for the period January to June 2020 was \$10 billion, and largely composed of unrealised gains accounting for 91.68%. Contributions accounted for 4.04% of total income, while rental income and interest on arrears contributed 1.54% and 0.55% respectively. The breakdown of income is summarised in Figure 13 below:-

Figure 13: Income Distribution for Stand-Alone Funds as at 30 June 2020

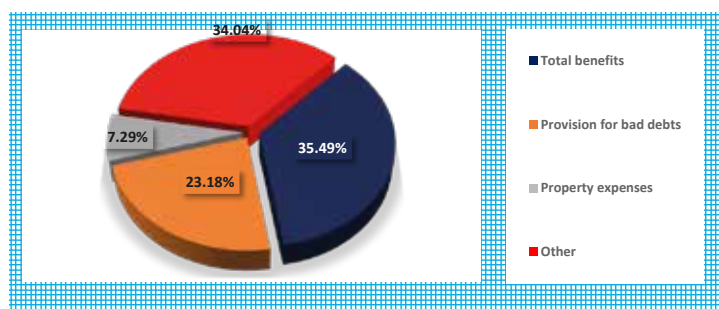


9.5.3 Total expenditure for the period January to June 2020 was \$304.20 million. Of this amount, 35.49% went towards benefits payment.

9.5.4 Administration expenses for the period January to June 2020 amounted to \$125.55 million compared to \$25.95 million for the same period in 2019.

9.5.5 The breakdown of the total expenditure for stand-alone pension funds for the period under review is shown in Figure 14 below:-

Figure 14: Expenditure Distribution for Stand-Alone Funds for the Half Year Ending 30 June 2020



9.5.6 The administration expenses were 31.13%, of contributions and 1.26% of total income, compared to 29.54% and 12.76%, recorded as at 30 June 2019 respectively.

9.5.7 The increase in the administration expenses to contributions ratio was mainly a result of the prevailing inflationary environment, hence the knock-on effect on operational costs.

9.5.8 Salary adjustments on the other hand have trailed behind inflation rates, which in turn affects the level of contributions. Management inefficiencies in some funds were also contributing to increased operational costs. The improvement in the administration expenses to income ratio is due to the increase in unrealised gains from revaluation of assets.

ANNEXURES

ANNEXURES

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the 6 months ended 30 June 2020

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
Income				
Year to date Contributions (Including arrears)	323,488,600	461,848,757	403,307,495	1,188,644,851
Interest on contribution arrears	-	321,011	55,385,676	55,706,687
Transfer from (to) other funds	64,731,437	14,336,068	(813,989)	78,253,516
Rental Income	546,117	51,261,266	153,951,125	205,758,508
Interest from Investments	6,315,544,636	367,177,210	9,141,713	6,691,863,559
Dividends from investments	(1,545,674)	255,057,216	16,167,516	269,679,058
GLA Premiums received (paid)	(6,591,798)	3,273,331	7,887,035	4,568,568
Profit on sale of assets	-	555,364,818	92,981,639	648,346,457
Fair Value Gains on equities	255,907,784	9,480,573,901	9,163,916,786	18,900,398,471
Other	85,187	1,412,076,711	93,201,825	1,505,363,723
Total Income	6,952,166,288	12,601,290,289	9,995,126,821	29,548,583,398
EXPENDITURE				
Benefits				
Year to date monthly pension benefits	44,082,669	69,450,720	91,965,287	205,498,676
Retrenchements and retirements	25,793,409	26,910,763	7,181,657	59,885,829
Full/part commutations paid after initial commuta	51,416,976	56,705,786	2,122,055	110,244,817
Withdrawals (resignations and dismissal)	30,439,028	32,075,163	4,804,255	67,318,446
Deaths	5,540,189	4,003,657	969,479	10,513,325
Other	320,011	27,001,011	926,805	28,247,828
Total Benefits Paid	157,592,282	216,147,100	107,969,539	481,708,921
Deductions by NEC	-	-	55,245	55,245
Staff costs	-	43,150	40,696,362	40,739,512
Admin Expenses	3,902,273	23,199,963	29,752,475	56,854,711
Investment Management Expenses	92,608,876	45,691,170	5,323,613	143,623,659
Actuarial fees	-	5,744,544	2,802,100	8,546,644
Audit fees	-	4,431,486	2,642,304	7,073,790
Legal fees	-	1,557,214	877,361	2,434,575
Board Fees	-	957,563	3,277,115	4,234,678
IPEC Levies	2,191,608	2,338,671	4,360,394	8,890,673
Bank Charges	-	2,131,653	6,448,867	8,580,520
Sundry expenses	167,299	3,805,544	87,565	4,060,408
Subscriptions	400,231	870,356	378,181	1,648,767
Property Expenses	-	6,837,083	22,164,520	29,001,603
Transfer to reserves	5,540,536	4,146,757	-	9,687,293
Fair value losses/(gains)	-	6,909	172,860	179,768
Provision for bad debtors	-	12,935,204	70,501,382	83,436,586
Others	1,905,119	8,255,174	6,685,929	16,846,222
Total Administration Expenditure (sub-total)	106,715,942	180,629,253	196,226,273	483,571,468
TOTAL EXPENDITURE	264,308,224	396,776,353	304,195,812	965,280,389
Surplus/ (Deficit)	6,687,858,064	12,204,513,936	9,690,931,010	28,583,303,009

Annexure 2: Consolidated Industry Statement of Financial Position as at 30 June 2020

	INSURED	SELF ADMINSTERED	STAND ALONE	TOTAL
ASSETS				
Operating Assets				
Property		131,119,018	72,734,981	203,853,999
Motor vehicles		-	10,137,977	10,137,977
Furniture and equipment		1,350,000	1,814,064	3,164,064
Computer systems and equipment		6,000	8,173,506	8,179,506
Other		37,907	2,616,471	2,654,378
Total operating assets	-	132,512,925	95,476,998	227,989,923
Investment Assets (Non- Current)				
Investment Property	8,050,456,010	6,148,129,795	13,754,845,536	27,953,431,341
Equities - Quoted	5,160,588,122	12,514,358,478	5,264,741,809	22,939,688,410
- Unquoted	1,508,931,520	837,236,586	230,905,027	2,577,073,133
Prescribed Assets - Government Stock	1,806,006,772	296,977,099	29,885,033	2,132,868,904
- Other prescribed assets	381,184,217	1,599,783,192	303,038,620	2,284,006,028
Fixed interest securities e.g. private bonds and de	4,730,815	20,285,276	36,675,846	61,691,937
Loans and Mortgages on Property (excluding staff	3,414,047	2,126,483	34,151,778	39,692,307
Staff loans and Mortgages	56,930	7,050,746	4,661,993	11,769,670
Other loans	-	238,375,025	-	238,375,025
External Assets	-	-	5,149,899,357	5,149,899,357
Long-term deposits	13,101	19,823,063	-	19,836,164
Gauranteed Fund	-	107,866,700	11,182,496	119,049,196
Other	18,030,524	3,968	188,590,060	206,624,551
Total non-current investment assets	16,933,412,057	21,792,016,410	25,008,577,555	63,734,006,022
Investment Assets (Current)				
Prescribed Assets - Government Stock	-	75,178,404	3,701,158	78,879,562
- Other prescribed assets	90,032,134	129,157,886	3,824,766	223,014,787
Fixed interest securites	3,239	111,316,637	-	111,319,876
Cash at Bank	219,367,911	345,769,963	116,220,721	681,358,595
Money Market investments	103,753,338	110,447,942	85,805,933	300,007,212
Staff loans	-	248,399	3,822,150	4,070,549
Dividends and interest receivable	(296,438)	10,450,883	13,240,560	23,395,005
Other	-	4,627,232	32,681,384	37,308,616
Total current investment assets	412,860,184	787,197,346	259,296,671	1,459,354,201
Contribution arrears *	77,570,910	131,973,828	677,820,544	887,365,282
Rental arrears *	-	12,040,682	90,140,281	102,180,963
Group Life Assurance contribution arrears	-	-	-	-
Other	-	1,242,563	-	1,242,563
TOTAL ASSETS	17,423,843,152	22,856,983,753	26,131,312,049	66,412,138,954
LIABILITIES				
Reserves	1,452,743,650	73,193,102	4,508,802,762	6,034,739,514
Provisions	-	20,157,026	3,332,345,023	3,352,502,050
Deffered pension benefits	5,469,076	87,617,132	1,275,820,369	1,368,906,577
Arrear pension benefits	-	6,542,460	46,572,199	53,114,659
Unclaimed Benefits	102,277,766	50,678,175	43,499,064	196,455,005
Sundry Creditors	-	144,268,810	32,289,681	176,558,491
Withdrawals	279,137	32,193,173	780,347	33,252,657
Other Creditors	-	3,516,340	1,180,711,888	1,184,228,228
TOTAL LIABILITIES	1,560,769,630	418,166,219	10,420,821,332	12,399,757,181
DIFFERENCE	15,863,073,522	22,438,817,534	15,710,490,717	54,012,381,773

Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer for the 6 months ended 30 June 2020

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
Income							
Year to date Contributions (Including arrears interest)	707,799	8,947,157	29,385,045	253,378,422	5,896,757	25,173,419	323,488,600
Interest on contribution arrears							-
Transfer / (to) from other funds	5,447,197			59,284,240			64,731,437
Rental Income		28,592			517,525		546,117
Interest from investments				6,315,290,726	253,909		6,315,544,636
Dividends from investments				(1,625,286)	79,612		(1,545,674)
GLA Premiums received (paid)	88,802	695,974	(901,364)	(3,587,273)	6,509	(2,894,446)	(6,591,798)
Other Income (specify) - FV adjustments		21,429,984		2,121	234,475,679		255,907,784
Other	85,187						85,187
Total Income	6,328,985	31,101,707	28,483,681	6,622,742,951	241,229,991	22,278,973	6,952,166,288
Expenditure							
Benefits to members							
Year to date monthly pension benefits	364,954		2,250	43,707,807		7,657	44,082,669
Retirements, retrenchments			1,076,692	22,670,284	2,046,433		25,793,409
Full commutations paid	3,487	3,206,792	182,106	44,670,097	1,982,050	1,372,444	51,416,976
withdrawals			1,457,515	27,228,301		1,753,213	30,439,028
Deaths				4,808,217	22,784	709,188	5,540,189
Other benefits	88,802			231,209			320,011
Sub-total	457,243	3,206,792	2,718,562	99,608,107	4,051,268	3,842,502	157,592,282
Administrative Expenses							
Deductions by NEC							-
Staff costs							-
Admin Expenses	85,187	288,805	1,232,039	707,825	176,999,60	1,411,417	3,902,273
Investment Management Expenses		3,482	171,522	68,308,469	22,696,709	1,428,694	92,608,876
IPEC Levies		137,843	435,450	1,040,000	151,805	426,510	2,191,608
Sundry expenses	108,617		58,682				167,299
Subscriptions i.e. ZAPP		38,424		189,427		172,380	400,231
Transfer to reserves	5,540,536						5,540,536
Fair value losses/(gains)							-
Loss/profit on disposal of assets (specify)							-
Provision for bad debtors							-
Others:1)		790,974	2,697		570,438,01	541,011	1,905,119
Sub-total	5,734,340	1,259,527	1,900,391	70,245,722	23,595,952	3,980,012	106,715,942
Total Expenditure	6,191,583	4,466,319	4,618,953	169,853,829	27,647,220	7,822,514	264,308,224
Net Income	137,402	26,635,388	23,864,728	6,452,889,123	213,582,771	14,456,459	6,687,858,064

Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 30 June 2020

	CBZ Life Assurance Company	Fidelity Life Assurance	First Mutual Life Assurance Company	Old Mutual Life Assurance Company	ZB Life Assurance Company	Zimnat Life Assurance Company	Total
ASSETS							
Investment Assets (Non- Current)							
Investment Property	2,147,189	103,971,556	217,477,466	7,594,701,129	72,936,435	59,222,236	8,050,456,010
Equities - Quoted	19,487,423	52,313,374	229,944,753	4,333,340,275	215,379,934	310,142,368	5,160,588,122
- Unquoted		557,227,985	2,759,767	836,766,299	78,872,746	33,304,724	1,508,931,520
Prescribed Assets - Government Stock			21,494,170	1,781,692,592	2,820,010		1,806,006,772
- Other prescribed assets		187,053,217	107,408,382	86,338,666	383,951		381,184,217
Fixed interest securities			4,730,815				4,730,815
Loans and Mortgages on Property (excluding staff)						3,414,047	3,414,047
Staff loans and Mortgages					56,930		56,930
Other loans							-
External Assets							-
Long-term deposits					13,101		13,101
Guaranteed Fund							-
Other (specify)					16,483,620	1,546,904	18,030,524
Total Non-Current Investments	21,614,612	900,566,132	583,815,352	14,632,838,961	386,946,727	407,630,274	16,933,412,057
Investment Assets (Current)							
Prescribed Assets - Government Stock							-
- Other prescribed assets						90,032,134	90,032,134
Fixed interest securities			3,239				3,239
Cash at Bank	113,078			219,254,833			219,367,911
Money Market investments	41,580	230,851	3,923,210	108,430,475	(11,072,833)	2,200,054	103,753,338
Staff loans							-
Dividends and interest receivable					(296,438)		(296,438)
Other (Specify)							-
Total current investment assets	154,658	230,851	3,926,449	327,685,309	(11,369,271)	92,232,189	412,860,184
Contribution arrears *		1,557,888	12,272,422	63,158,365		582,235	77,570,910
Rental arrears *							-
Other							-
Group Life Assurance contribution arrears							-
TOTAL ASSETS	21,769,270	902,354,871	600,014,223	15,023,682,634	375,577,456	500,444,698	17,423,843,152
LIABILITIES							
Reserves		902,216,297	215,177,307		252,334,704	83,015,342	1,452,743,650
Provisions							-
Deferred pension benefits			5,469,076				5,469,076
Arrear pension benefits							-
Unclaimed Benefits		138,574	30,290,431	66,969,047	3,050,843	1,828,871	102,277,766
Sundry Creditors							-
Withdrawals			279,137				279,137
Other Creditors (specify)							-
TOTAL LIABILITIES	-	902,354,871	251,215,951	66,969,047	255,385,547	84,844,213	1,560,769,629
NET ASSETS AVAILABLE FOR BENEFITS	21,769,270	0	348,798,272	14,956,713,586	120,191,909	415,600,485	15,863,073,522

Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the 6 Months ended 30 June 2020

	Capitol Insurance Brokers	Compton Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimmut Life Assurance Company	Total
Income											
Year to date Contributions (Including arrears)	164,780.70	39,845,936.32		17,367,694.34	53,569,107.57	205,181,795	4,338,088.45	138,873,332.00	213,937.95	2,294,084.92	461,848,757
Interest on contribution arrears				321,010.71							321,011
Transfer from other funds		2,996,295.61		144,953.12	937,896.57	10,178,589	2,443.74	108,608.00	(32,718.03)		14,336,068
Rental Income	116,000.00	2,206,104.14		686,633.78	7,915,659.84	19,882,062		20,434,494.00	17,705.01	2,606.82	51,261,266
Interest from Investments		1,033,029.08	10,988		46,955,356.50	47,481,168	78,883.92	271,580,330.22	14,127.80	23,326.09	367,177,210
Dividends from investments		1,828,835.42	29,189		5,282,936.27	21,233,373	281,907.30	226,182,342.10	13,219.29	207,413.69	255,057,216
GLA Premiums received (paid)		(181,263.07)		(1,224,396.18)	176,644.88		-	4,524,843.00	(22,498.05)		3,273,331
Profit/(loss) on disposals investments		5,457,562.51		4,031,367.58	45,421,030.41	375,545,740	102,254,862.91	19,264,058.12	43,904.84	3,346,291.57	555,364,818
Fair value gains (Losses)		3,657.39		28,977,734.85		7,205,384,024		2,133,470,684.51	9,168,091.83	103,569,708.00	9,480,573,901
Other		12,731,479.90	9,932,263	406,139,041.00	1,069,431.65	66,446,003.00	910,960.15	914,829,189.40	18,343.20		1,412,076,711
Total Income	280,781	65,919,637	9,972,440	456,444,039	161,328,064	7,951,332,755	107,867,146	3,729,267,881	9,434,114	109,443,431	12,601,290,289
EXPENDITURE											
Benefits											
Year to date pension benefits	117,000.00	6,467,605.18			2,553,676.32	59,917,815		394,624.00			69,450,720.29
1/3 Commutations paid		170,211.36			14,038,087.15	12,263,513		438,952.00			26,910,763.36
Full/part commutations after refund or 1/3 commutations		1,276,432.67	189,633	9,622.54	2,563,599.92	1,730,920		50,815,888.00		119,689.37	56,705,785.93
resignations, dismissals		480,751.66	26,062	434,819.11	-	8,457,738	144,612.49	22,344,770.00	35,615.66	150,793.78	32,075,162.59
Death benefits		326,252.95				887,832		2,772,803.00	16,769.10		4,003,657.00
Others:1)Specify		3,905,138.98	7,987		141,654.25	20,294,572		2,651,659.00			27,001,011.21
Total Benefits	117,000.00	12,626,392.80	223,681.98	444,441.65	19,297,017.64	103,552,389.91	144,612.49	79,418,696.00	52,384.76	270,483.15	216,147,100.38
Administrative Expenses											
Staff costs								7,391.00		35,758.52	43,149.52
Admin Expenses	2,000.00	5,537,155.15	10,800	627,478.89	2,717,987.13	10,463,097	36,023.62	3,757,055.00	13,095.75	45,270.19	23,199,963.17
Investment Management Expenses		3,506,699.36	21,173	1,196,708.43	7,259,901.45	20,145,562	523,867.27	12,863,928.00	36,267.20	137,063.45	45,691,170.43
Actuarial fees		662,726.00		26,018.00	165,358.62	4,466,784	230,000.00	114,657.00	9,000.00	70,000.00	5,744,543.59
Audit fees		766,032.56	159,600	55,860.37	368,193.40	2,695,783	60,000.00	246,016.00		80,000.00	4,431,485.66
Legal fees		138,125.00				1,198,800		220,289.00			1,557,214.00
Board Fees		664,608.78			130,875.17	152,250	5,029.13	3,600.00	1,200.00		957,563.08
IPEC Levies		164,733.59	49,582	210,464.56	429,078.82	1,059,427		393,682.43	3,720.72	27,981.13	2,338,670.75
Bank Charges		482,759.17	3,386	104,924.25	575,292.15	671,375	4,686.83	279,942.50	6,676.39	2,610.14	2,131,652.80
Sundry expenses		108,257.27		54,740.00	458,260.43	3,103,679	196.90	80,410.00			3,805,544.03
Subscriptions i.e. ZAPF		41,898.00	13,260	10,997.39	65,794.15	595,050		116,836.00		26,520.00	870,355.54
Property Expenses	54,937.00	1,212,980.63			1,859,906.61	2,449,808		1,259,471.00			6,837,082.85
Transfer to reserves					4,146,757.34						4,146,757.34
Fair value losses/(gains)					6,908.57						6,908.57
Loss/(profit) on disposal of assets (specify)						289,786		57,387,028.00			57,676,814.04
Provision for bad debtors						12,926,694				8,510.00	12,935,204.13
Others:1)Specify		468,365.87		146,248.46	4,709,081.41	2,866,365.00	10,261.92		44,023.89	10,827.00	8,255,173.55
Total Administrative Expenditure	56,937.00	13,754,321.38	257,801.76	2,433,440.35	22,893,395.25	63,074,461.32	870,065.67	76,730,305.93	113,983.95	444,540.43	180,629,253.04
Total Expenditure	173,937.00	26,380,714.18	481,483.74	2,877,882.00	42,190,412.89	166,626,851.23	1,014,678.16	156,149,001.93	166,368.71	715,023.58	396,776,353.42
Surplus / (Deficit)	106,843.70	39,538,923.12	9,490,956.62	453,566,157.20	119,137,650.80	7,784,705,903.73	106,852,468.31	3,573,118,879.42	9,267,745.13	108,728,407.51	12,204,513,935.54

Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 30 June 2020

	Capitol Insurance Brokers	Compton Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Mirewa Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimnat Life Assurance Company	Total
ASSETS											
Operating Assets											
Property	54,400,000	76,719,018									131,119,018
Motor vehicles				-							-
Furniture and equipment		1,350,000									1,350,000
Computer Systems						6,000					6,000
Other (Specify)					-	37,907					37,907
Total operating assets	-	78,069,018	-	-	-	43,907		-	-	-	132,512,925
Investment Assets (Non-Current)											
Investment Property		278,469,047	3,022,435	185,920,254	655,165,007	3,459,823,726	1,750,081	1,528,155,692	1,953,296	33,870,257	6,148,129,795
Equities - Quoted	938,134	1,419,536,406	7,806,106	360,746,548	2,329,708,072	5,713,587,143	136,497,938	2,497,428,644	8,938,131	39,171,356.00	12,514,358,478
- Unquoted		26,101,448			39,480,481	739,344,784		27,829,291		4,480,581.73	837,236,586
Prescribed Assets - Government Stock		2,830,813	12,235	10,060	154,190,404	-		139,933,587			296,977,099
- Other prescribed assets		24,027,662	865,921	22,870,432	209,038	891,486,930	750,288	658,918,057	-	654,864	1,599,783,192
Fixed interest securities e.g. bonds & debentures		760,801		690,876	3,226,083	13,468,837	7,132	2,130,365	1,182		20,285,276
Loans and Mortgages on Property (excluding staff)		-			122	2,125,631		730			2,126,483
Staff loans and Mortgages		-			6,349,789	-				700,957.22	7,050,746
Other loans		-				-		238,375,025			238,375,025
External Assets		-				-					-
Long-term deposits		-			1,169,583	18,653,480					19,823,063
Guaranteed Fund		-			20,849,956	87,016,744					107,866,700
Other(Specify)		-				3,968					3,968
Total non-current investment assets	938,134	1,751,726,177	11,706,698	570,238,169	3,210,348,535	10,925,511,241	139,005,439	5,092,771,391	10,892,609	78,878,016	21,792,016,410
Investment Assets (Current)											
Prescribed Assets - Government Stock		32,820,637	1,138			-		42,356,629			75,178,404
- Other prescribed assets		-				-	13,756,379	115,331,485	44,414	25,608	129,157,886
Fixed interest securities		20,845,871		306,186		87,773,743		2,390,822	15		111,316,637
Cash at Bank	133,354	21,918,005	544,373	10,826,526	14,315,790	87,894,019	1,331,121	205,393,732	2,286	3,410,758	345,769,963
Money Market investments		836,834	234,290	1,062,180	49,263,195	10,505,453	1,114,344	47,195,765	27,387	208,494	110,447,942
Staff loans					248,399						248,399
Dividends and interest receivable		1,723		24,736	1,216,704	9,207,720					10,450,883
Other (Specify)		115,874		606,329	701,536	1,131,553		2,071,023	917		4,627,232
Total current investment assets	133,354	76,538,944	779,802	12,825,957	65,745,623	196,512,489	16,201,844	414,739,456	75,018	3,644,860	787,197,346
Contribution arrears *		28,288,626	316,820	19,618,825	14,106,897	36,164,754	1,161,462	30,522,243	949,489	844,711	131,973,828
Rental arrears *				13,775	2,498,002	5,100,750		4,428,155			12,040,682
Group Life Assurance contribution arrears											-
Other (Specify)						1,242,563					1,242,563
TOTAL ASSETS	1,071,488	1,934,622,764	12,803,319	602,696,725	3,292,699,058	11,164,575,704	156,368,745	5,542,461,245	11,917,117	83,367,587	22,856,983,753
LIABILITIES											
Reserves		7,063,162	12,803,319		33,854,322			6,537,657		12,934,642	73,193,102
Provisions		1,694,209			4,913,978	8,969,543	275,000	4,157,782	106,514	40,000	20,157,026
Deferred pension benefits		-			21,887,229	65,729,903					87,617,132
Arrear pension benefits		1,073,717			2,886,118	2,582,626					6,542,460
Unclaimed Benefits		-		6,006,838	10,517,248	33,821,193	50,421		88,192	194,283	50,678,175
Sundry Creditors		1,646,667		134,981	7,876,101	134,461,062	150,000				144,268,810
Withdrawals		-			14,332,629	17,860,544					32,193,173
Other Creditors (specify)		3,563		1,897,564	2,274		1,544,739	10,869	9,078	48,253	3,516,340
TOTAL LIABILITIES	-	11,481,317	12,803,319	8,039,383	96,269,899	263,424,871	2,020,160	10,706,308	203,784	13,217,178	418,166,219
NET ASSETS AVAILABLE FOR BENEFITS	1,071,488	1,923,141,447	-	594,657,342	3,196,429,159	10,901,150,834	154,348,585	5,531,754,937	11,713,332	70,150,409	22,438,817,534

Annexure 7: Consolidated Statement of Comprehensive Income for Stand-Alone Pension Funds for the 6 months ended 30 June 2020

PENSION FUND	Coling Industry	Clothing Industry	Construction Industry	Communications and Allied Industry	GMIS	Local Authorities	Motor Industry	Mining Industry	NRZ	ZARWU	Perfact Pension Scheme	Unified Councils	ZB Financial Holdings	ZMDC	Zimbabwe Electricity Industry	Zesa Staff	Total
INCOME																	
Year to date Contributions (including arrears)	7,425,500	1,792,402.47	12,398,420.00	19,894,444.48	5,300,286	26,487,166	8,093,954.00	190,623,220.00	27,044,310	76,606	32,764.00	9,005,811	5,868,961		78,406,679.00	10,856,970	403,307,495
Interest on contribution arrears			100,129.00	390,770.01		15,171,923		20,287,363.00	6,514,833			1,808,172		1,575,718	8,699,788.00	836,980	55,385,676
Transfer from other funds								803,728.00					(10,263)				(813,969)
Rental income (including arrears and interest from investments)	6,309,758	3,243,944.55	4,382,672.00	18,211,653.82	501,800	38,048,549	4,318,972.00	21,116,535.00	38,708,842	8,400		1,102,339	702,423		6,925,009.00	10,370,228	153,951,125
Dividends from investments	127,692	142,700.20	331,292.00	1,474,684.36	126,111	74,270	567,925.00		3,978,121			2,522	221,188		1,978,924.00	116,284	9,141,713
GLA Premiums received (paid)	909,247	272,363.86	379,214.00	714,297.98	47,460	1,617,123	1,040,102.00	6,540,537.00	2,443,612		1,982.00	664	473,255		1,280,919.00	446,739	16,167,516
Other income (profit on disposals)	15,304,043					788,047		7,080,436.00			3,068.00						7,887,085
Other income (unrealised profit)	167,043,292		137,095,976.00	4,299,891,533	252,829,502		781,364,159.00	2,389,148,897.00			1,187,089.00	648,243	387,344,355		565,526,921.00	181,815,799	9,163,916,786
Other income	2,377,018	109,635.77	59,138		544,472		63,512,826.00	6,576,843				6,000	19,781,502.00		100,383.00	154,007	93,201,805
TOTAL INCOME	199,496,590	5,759,404	154,744,841	4,340,577,584	240,137,618	81,821,073	892,025,852	2,444,496,110	83,141,755.23	86,006	1,218,769	12,573,751	414,514,244	1,575,718	680,580,794	220,395,862	9,995,124,821
EXPENDITURE																	
Benefits Paid																	
Year to date monthly pension benefits	84,841		83,842.00	11,505,136	29,815	12,755,730	82,217.00	7,001,559	48,087,666	12,127	-	240,902	239,712		1,035,618	10,806,132	91,965,287
Retirements and retirements		65,074.10	32,338.00	120,566	60,165	4,578,270	161,650.00	1,493,854			-	191,835	25,310	124,144	214,152	114,299	7,181,657
Full/Part commutations after 1/3	35,345	111,557.33	2,438.00				274,203.00	339,534	933,567.25	73,931	-				382,080		2,122,055
Withdrawals (resignations and dismissals)	313,837	14,689.11	128,366.00	288,996	460,961		197,233.00	2,623,627	84,576.20		-	17,543	55,392.00		61,902		4,804,255
Death benefit	9,655		130,374	58,842	11,705		61,978.00	601,430.00	34,999.00		-	60,478					969,479
Other benefits	2,043		49,138			115,423.92		632,554	1,750.00		-	125,896					928,805
Total Benefits Paid	445,721	191,331	424,496	11,973,559	542,444	17,334,000	777,279	12,492,538	49,142,549	85,458	-	636,454	320,414	124,144	2,220,876	10,920,451	107,969,539
Deductions by NEC				9,151				41,616	4,478.08								55,265
Staff costs	858,452	622,419.28	1,922,715.00	2,258,039	840,438	4,627,338	2,157,042	17,410,467	5,496,480.40			1,441,289			2,279,358	780,285	40,696,362
Admin Expenses	1,156,741	580,486.44	2,155,755.00	2,166,832	617,816	3,289,661	2,472,556	7,947,672	3,886,325.36			937,224			3,162,035	1,420,371	29,752,475
Investment Management Expenses/Investment	72,000	-	106,970.00	45,406			1,494,406	1,089,593	819,711.35		3,848		666,463		724,671	300,545	5,323,613
Actuarial fees	446,092	200,000.00	70,226.00				115,000	986,861				220,242	24,429	75,000	579,230	65,000	2,802,100
Audit fees	60,000	275,551.80	-	353,440	39,417	403,118	189,806	498,886	208,145.80			191,590	10,889		254,253	177,188	2,642,304
Legal fees	22,425	-	2,237.00	182,747		189,949		178,444	46,327.55			215,232		40,000		-	877,361
Board expenses	6,820	69,325.08	235,487.00	327,711	27,366	586,935	139,822	439,341	733,028.69	14,700		284,367			193,056	219,156	3,277,115
IFEC Levies	92,748	166,544.22	490,480.00	268,644	89,330	146,527	208,452	842,858	1,491,634.58		2,816	69,107	141,189	500	198,553	151,032	4,340,394
Bank Charges	28,224	101,174.58	479,884.00	666,785	169,702	936,355	228,344	1,489,707	1,386,270.34			168,814	987	6,698	372,320	413,603	6,448,867
Subscriptions i.e. ZAFF	13,260	1,250.00	49,255.00	8,925.00	14,960	13,260		177,011.00	31,914.58				14,450	15,308	21,346	17,241	378,181
Property Expenses	296,111		544,940.00	360,236.00	26,578	640,406	79,689	6,907,452.00	6,490,784.11	3,770		391,980	58,493	25,478	1,548,342	4,790,261	22,164,520
Transfer to reserves																	-
Fair value losses (gains)									172,859.87								172,860
Loss/profit on disposal of assets (specify)																	-
Provision for bad debts, Depreciation, amortisation	372,014	12,954.31	66,964.00	3,774,033	119,603		100,134	51,107,569							6,961,054	7,987,036	70,501,382
Other expenses (specify)	1,171,909		338,773.00		139,883	4,766,071		88,708.00				64,736	115,849				6,685,129
Total Fund Administration Expenses	4,596,796	2,029,706	4,463,444	10,421,008	2,085,093	15,579,420	7,193,300	89,206,185	20,804,293	18,470	9,444	3,977,389	1,053,544	169,584	14,274,238	14,341,718	196,224,273
TOTAL EXPENDITURE	5,042,517	2,221,036	4,890,142	22,394,567	2,647,739	32,913,420	7,970,579	101,896,743	69,948,842	106,928	9,444	4,634,043	1,353,958	293,728	18,495,114	27,262,149	304,195,812
SURPLUS (DEFICIT)	194,454,073	3,538,368	147,854,699	4,318,182,816	237,489,959	48,907,653	884,055,273	2,344,599,367	13,192,914	(18,921)	1,209,325	7,596,362	413,160,286	1,281,990	662,085,680	193,133,713	9,690,931,009

Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 30 June 2020

	CATERING INDUSTRY PENSION FUND	CLOTHING INDUSTRY PENSION FUND	CONSTRUCTION INDUSTRY PENSION FUND	COMMUNICATIONS AND ALLIED INDUSTRY	MARKETING BOARD PENSION FUND	LOCAL AUTHORITIES PENSION FUND	MINING INDUSTRY PENSION FUND	MOTOR INDUSTRY PENSION FUND	CONTRIBUTORY PENSION FUND	N/R2	ZARWU PENSION SCHEME	PENTACT PENSION SCHEME	UNIFED COUNCILS PENSION FUND	Z8 FINANCIAL HOLDINGS PENSION FUND	ZMDC PENSION FUND	ELECTRICAL INDUSTRIES PENSION FUND	ZESA PENSION FUND	Total
ASSETS																		
Operating Assets																		
Property	7,230,655				37,718,891				-	22,849,780			3,361,675		1,574,000			72,734,981
Motor vehicles	15,925	174,636	13,957	493,341		388,362	1,819,299	622,305	2,467,911				2,666,444			1,475,796		10,137,977
Computer systems and equipment	32,323	51,826	191,581	321,561	106,453	455,300	3,308,974	264,755	110,882				1,926,543			1,408,307		8,175,506
Furniture and equipment	202,156	71,149	34,594	57,682	194,996	83,011	487,826	43,184	6,041				274,631			322,000	36,794	1,814,064
Other (Specify)	77,966		439,233				9,919		1,015,998				1,073,340					2,616,471
Total operating assets	7,559,025	297,612	679,365	872,584	38,020,340	926,674	5,626,018	990,244	3,600,827	22,849,780	-	-	9,302,634	-	1,574,000	3,201,103	36,794	95,476,998
Investment Assets (Non-Current)																		
Investment Property	149,002,672	390,230,823	452,855,336	5,786,817,522	335,250,000	1,417,567,286	960,318,990	592,557,203	2,792,480,000				56,782,187	172,748,704	2,073,718	338,907,238	312,253,857	13,754,845,536
Equities - Quoted	238,967,762	21,371,963	163,234,195	292,700,611	10,995,528	136,524,864	2,695,593,910	458,052,476	130,525,885			223,393	732,383	182,841,982	334,950	717,892,491	214,951,416	5,264,741,809
- Unquoted				12,941,226	-	113,598,353	94,077,416	8,559,820	1,720,106				-	-		4,053	4,053	230,905,027
Prescribed Assets - Government Stock			770,940	9,738,442	-		14,949,001	-	-				100,000	666,667		3,639,983	-	29,885,033
- Other prescribed assets		483,761			3,850,000		199,200,625	51,348,900	741,517	194,772			13,347	32,290,888		15,015,000	-	308,038,620
Fixed Interest securities e.g. private bonds				949,186			34,892,041	135,013	142,827					48,305		449,966	58,508	36,675,846
Loans and Mortgages on Property (excluding staff)				2,956,941			-	-	3,675,951					2,658,125		24,862,761		34,151,778
Staff loans and Mortgages			1,760,785				2,082,375	72,819	336,207							409,808		4,661,993
Other loans																		-
External Assets									5,149,899,357									5,149,899,357
Long-term deposits																		-
Guaranteed funds		11,182,496																11,182,496
Other			78,849			6,799,088	25,557,475	63,447,146	35,284,026			2,911,634	131,028	54,380,864				188,590,060
Total non-current investment assets	387,970,434	423,269,043	618,700,104	6,106,103,928	350,095,528	1,674,489,541	4,026,671,833	1,174,073,377	8,114,601,876	194,772	3,135,027	57,758,946	445,635,345	2,408,668	1,096,201,300	527,267,834	25,006,577,555	
Investment Assets (Current)																		
Prescribed Assets - Government Stock	216,003															2,885,155	600,000	3,701,158
- Other prescribed assets	2,324,766			1,000,000			500,000											3,824,766
Fixed Interest securities	-																	-
Cash at Bank	6,973,865	3,874,745,27	2,494,707	5,355,465	699,479	17,816,897	43,524,477	1,122,314	10,768,248	13,132			1,663,873	4,054,531	2,474,638	15,389,350		116,220,721
Money Market Investments	-	4,467,387,47	64,814	21,552,562	2,000,000		9,247,714	3,126,257	8,521,205				-	5,000,354	39,606	5,752,000	26,034,032	85,805,933
Staff loans	265,665	1,954,93	526,751	630,115			1,570,487	129,763	17,082				266,140	-		434,272		3,822,150
Dividends and Interest receivable				499,049		445,628	11,885,491	94,143						179,489	45,091	64,713	26,957	13,240,560
Other (Specify)	797,899		7,629,597	661,589		1,183,642	6,357,114	296,138	1,27,787	85,113			98,254	95,344		2,409,207	13,039,920	32,681,384
Total current investment assets	10,577,968	8,344,088	10,715,860	29,688,759	2,699,479	19,446,167	73,085,233	4,668,615	19,429,322	98,245	-	2,028,267	9,329,718	2,559,335	26,914,697	39,710,918	259,216,671	
Contribution arrears *	15,757,925	1,834,140	5,785,887	8,497,639	1,824,499	277,563,828	165,260,006	2,329,562	70,655,019	37,666			38,630,452		2,087,294	87,536,576		677,820,544
Rental arrears*	3,666,999	954,810	1,341,170	23,966,007	96,613	18,736,529	15,320,301	816,775	22,374,484	3,800			495,292	60,028	238,831	1,222,511	826,132	90,140,281
Other																		-
Group Life Assurance contribution arrears																		-
TOTAL ASSETS	425,532,371	434,699,693	637,222,376	6,169,158,966	392,736,459	1,991,162,739	4,285,963,391	1,182,818,571	8,290,639,528	25,184,262	3,135,027	108,215,590	455,025,091	8,868,128	1,215,096,188	567,831,669	26,131,312,049	
LIABILITIES																		
Reserves		7,633,378	177,775,709	1,996,442,718	388,564,339	307,239,483	658,900,000					131,596	2,956,507	37,739,097		608,003,457	328,416,528	4,508,802,762
Provisions	806,527		2,762,899	2,945,885,562	5,103,054	189,391,460	173,431,014	1,921,508	5,911,264				3,365,479	113,374	2,326,125	1,257,077	66,690	3,332,345,023
Deferred pension benefits		610,816	11,422,000	1,210,844,319	590,672		38,044,901						13,625	3,606,027		10,687,808		1,275,820,369
Arrear pension benefits					1,833,621	36,518,594	7,636,819								583,165			46,572,199
Unclaimed Benefits		12,005,886	11,613	685,530			11,455,099	14,325,809	2,692,234				2,110,136		212,757			43,499,064
Sundry Creditors	40,526	459,300	300,882	177,948	214,773		9,063,177	372,399	16,337,868			1,800	37,538	368,946		3,154,371	1,780,158	32,289,681
Withdrawals								279,142							132,912		386,298	780,347
Others	1,217,239	2,435,450	867,810	15,119,668	1,430,000	11,887,469	4,876,293	1,342,833,824					150,960	273,575				1,180,711,888
TOTAL LIABILITIES	2,064,292	23,144,830	637,193,069	6,169,158,966	392,736,459	544,836,946	903,407,303	16,898,858	1,167,795,165	-	133,396	8,634,244	41,864,765	3,490,992	623,471,006	330,243,376	10,865,073,688	
DIFFERENCE	423,468,079	411,554,862	29,307	(0)	-	1,446,325,793	3,382,556,088	1,165,919,713	7,062,864,363	25,184,262	3,001,631	99,581,346	413,160,306	5,377,135	591,627,183	237,588,293	15,266,238,361	